

Day 9 - Module 1 Study Guide

Unit 30 - Florida Laws and the Rules Pertinent to Health

Maintenance Organizations

This study guide provides comprehensive and structured content, allowing you to cover the exam topics systematically to help you organize your study plan and ensure you don't miss any crucial concepts. There are spaces available within the study guide for you to type or write in notes on specific topics as you learn more about them in the instructor-led live lecture sessions.

Module Objectives

- **Course Objective:** Recognize Florida statutes, rules, and regulations
- **Learning Objective:** Identify Florida laws pertinent to health insurance

Questions I Should Be Able to Answer Using This Study Guide

- Why were HMOs established?
- How do HMOs operate?
- What are the definitions of capitation and prepaid health clinic?
- Can an HMO sell insurance? Why or why not?
- By when must an HMO contract be delivered to the subscriber?
- For how long is an HMO's continuation of benefits?
- For how long is an HMO's open enrollment period?
- Do HMOs cover newborn children?
- How do HMOs handle claim payments?

I. Health Maintenance Organizations (HMOs)

- Why were HMOs established? (*Reading: 30.1*)
 - In accordance with FS 641.18, the establishment of HMOs was driven by the escalating expenses associated with healthcare and the state's commitment to ensuring excellent care.

- Recognizing the necessity for increased cost-effectiveness and efficiency in healthcare delivery, the Legislature identified the importance of investigating alternative approaches to providing these services.
- Comprehensive health care: HMOs provide a wide range of services, medical equipment, and supplies.

Notes

Use this space to take additional notes on this topic during the live lesson.

II. HMO Operations

- How do HMOs operate? (*Reading: 30.2*)
 - HMOs operate through a **group enrollment system**, where each member pays a premium regardless of whether they use the services or not.
 - HMOs emphasize savings through early prevention and detection, promoting proactive healthcare measures to prevent and detect illnesses at an early stage, leading to potential cost savings and improved health outcomes.

Remember!

An HMO focuses on preventive care.

- What are the definitions of capitation and prepaid health clinic? (*Reading: 30.3*)
 - **Capitation:** the predetermined, fixed amount of payment that an HMO pays to a healthcare physician or provider in exchange for the medical services they provide
 - It is paid per patient or member, regardless of whether actual services were rendered or the cost of those services.

Remember!

Capitation is the set amount of money that an HMO will pay a doctor or other provider.

- **Prepaid health clinic:** an organization that gives its members basic medical care at a certain place in exchange for regular premium payments

Notes

Use this space to take additional notes on this topic during the live lesson.

III. Regulation and Licensing

- **Can an HMO sell insurance? Why or why not? (Reading: 30.4)**
 - An HMO cannot sell insurance.
 - An HMO can only offer contracts that have been allowed by the OIR.
 - The OIR must give an HMO a certificate of authority.
 - An HMO can also be owned by insurance.
 - **Marketing Practices (Reading 30.5):** Unless licensed and appointed as a health insurance agent, no person may solicit contracts or obtain applications of HMO policies. Only full-time employees may engage in the business of analyzing or abstracting health maintenance organization contracts.
 - **HMO Unfair Trade Practices (Reading 30.5.1):**
 - Misrepresentation and false advertising of HMO contracts
 - False information and false advertising in general
 - Defamation
 - False statements and entries
 - Unfair claim settlement practices
 - Failure to maintain claim handling procedures
 - Twisting
 - Illegal dealing in premiums

- Prohibited discriminatory practices
 - Rebating
 - Adverse action against a provider
- **HMO Consumer Assistance Plan (CAP)** (Reading 30.5.3): designed to protect individuals enrolled in Health Maintenance Organizations (HMOs) in the event that their HMO becomes insolvent.

Notes

Use this space to take additional notes on this topic during the live lesson.

IV. Required Benefits

- By when must an HMO contract be delivered to the subscriber? (*Reading: 30.6.1*)
 - After the enrollment request has been approved, the HMO contract, certificate, or member handbook must be supplied to the subscriber within ten working days.
- For how long is an HMO's continuation of benefits? (*Reading: 30.6.1.1*)
 - Every HMO is required to offer a continuation of benefits if the HMO cancels the agreement.
 - Benefits and claims already initiated will shall be reimbursed.
 - This is valid will the end of the year.
- For how long is an HMO's open enrollment period? (*Reading: 30.6.1.2*)
 - An HMO must hold an open enrollment period that lasts at least 30 days every 18 months.
- Do HMOs cover newborn children? (*Reading: 30.6.1.5*)
 - Contracts that include provisions for a family member must also include coverage for babies from the moment they are born.

Notes

Use this space to take additional notes on this topic during the live lesson.

V. Claim Payments

- How do HMOs handle claim payments? (*Reading: 30.6.2*)
 - Any contracted hospital, ambulance service, doctor, or dentist to whom a subscriber has specifically authorized services must be paid directly by an HMO.

Notes

Use this space to take additional notes on this topic during the live lesson.

VI. Key Concepts

Add notes or definitions for each of the key concepts in the **Notes** column next to the term.

Key Concept	Notes
Health maintenance organization (HMO)	
Health maintenance contract	
Provider	
Subscriber	
Defamation	
Unfair claim settlement practice	
Twisting	
HMO Consumer Assistance Plan (CAP)	
Extension of benefits	
Open enrollment	

VII. Check Your Understanding

Check your understanding of the topics covered in this unit by answering the following questions.

1. According to the legislature, HMOs should do all of the following EXCEPT _____.
 - a. deliver high-quality healthcare.
 - b. provide a substitute method of healthcare.
 - c. replace the existing health care delivery system.
 - d. control the escalating expense of health care.
2. Choose the statement that is NOT what HMO system savings are based on.
 - a. Maintain high premiums to net a profit
 - b. Provide volume discounts with hospitals
 - c. Promote capitation arrangements with physicians
 - d. Encourage members to see their doctors early
3. Choose the term that is NOT considered an unfair trade practice with regard to HMOs.
 - a. Defamation
 - b. Misrepresentation
 - c. Conversion
 - d. Twisting
4. The _____ is the written agreement between the subscriber and the HMO.
 - a. healthcare contract
 - b. health insurance policy
 - c. health maintenance agreement
 - d. health maintenance contract
5. HMOs are required to file a report of their activities to the Office of Insurance Regulation _____.
 - a. every 2 years
 - b. every 2 months
 - c. within 3 months after the end of a fiscal year
 - d. at the end of each calendar year

VIII. Key Concepts Answers

The following are the definitions for the Key Concepts listed for this unit.

Key Concept	Notes
Health maintenance organization (HMO)	Healthcare management stressing, preventative health care, early diagnosis and treatment on an outpatient basis
Health maintenance contract	Delineates the arrangement between the subscriber or group of subscribers and the HMO
Provider	Any physician, hospital, organization, or other person or institution that furnishes healthcare services and is licensed or otherwise authorized to participate in Florida
Subscriber	An individual or organization that has a health maintenance agreement with the HMO pays the fee and makes use of the HMO's services
Defamation	Making an oral or written statement or any pamphlet, circular, article, or literature that is false or malicious, critical of any person and that is calculated to injure such person
Unfair claim settlement practice	Making an oral or written speech, pamphlet, circular, article, or other piece of literature that is maliciously disparaging of someone else and intended to cause them harm
Twisting	The illegal practice of persuading a client to cancel an existing insurance policy and purchase a new policy with the same or a different insurer
HMO Consumer Assistance Plan (CAP)	CAP was established to protect the subscribers of HMOs against the failure of the HMO to perform its contractual obligations due to its insolvency. The law specifically prohibits the use of the CAP in any way in the sale of the HMO contract, even if it is for the purpose of reassuring the prospect.
Extension of benefits	Every HMO contract must provide an extension of benefits so that if the HMO is terminated, the contract claims approved, and benefits stated while the contract was enforced will continue to be paid.
Open enrollment	The law requires that each HMO that offers a group plan within

	Florida must have an open enrollment period of no fewer than 30 days every 18 months. No matter their medical history, every eligible group member may enlist during that period.
--	---

IX. Check Your Understanding Answers

1. The correct answer is **c. replace the existing system of health care delivery**. The Legislature declared that the aim of HMOs is to deliver high-quality healthcare, provide an alternative method of healthcare, and control the escalating cost of health care. They are not intended to take the place of the current system for providing healthcare.
2. The correct answer is **a. Maintain high premiums to net a profit**. The HMO system bases its cost-savings on agreements with physicians, bulk discounts with hospitals, and incentives for members to schedule early doctor visits. It is not based on keeping the premium high enough to net a profit.
3. The correct answer is **c. Conversion**. Defamation, misrepresentation, and twisting are all considered unfair trade practices related to HMOs. Conversion is not.
4. The correct answer is **d. health maintenance contract**. A health maintenance contract is the formal agreement in writing between the subscriber and the HMO.
5. The correct answer is **c. within 3 months after the end of a fiscal year**. HMOs file a report of their activities to the Office of Insurance Regulation within 3 months after the end of a year.